# HEALTH LEVEL SEVEN INTERNATIONAL

FINANCIAL STATEMENTS

For the years ended December 31, 2023 and 2022

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# INDEPENDENT AUDITOR'S REPORT

To the Board of Directors of
Health Level Seven International
Ann Arbor, Michigan

## Opinion

We have audited the accompanying financial statements of Health Level Seven International (a nonprofit organization), which comprise the statements of financial position as of December 31, 2023 and 2022, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Health Level Seven International as of December 31, 2023 and 2022, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

## Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Health Level Seven International and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

## Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Health Level Seven International's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

## Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Health Level Seven International's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Health Level Seven International's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Respectfully,

*Bennett & Associates, CPAs PLLC*

Ann Arbor, Michigan
July 5, 2024

| | 2023 | 2022 |
|---|---|---|
| **ASSETS** | | |
| Cash and cash equivalents | $ 6,460,777 | $ 6,807,802 |
| Investments | 10,203,554 | 10,047,872 |
| Accounts receivable, net of allowance for credit losses | 66,175 | 345,121 |
| Unbilled grant receivable | 390,331 | 273,150 |
| Prepaid expenses | 190,415 | 253,102 |
| Internal-use software, net of amortization | 227,306 | 238,692 |
| **TOTAL ASSETS** | $ 17,538,558 | $ 17,965,739 |
| **LIABILITIES AND NET ASSETS** | | |
| LIABILITIES | | |
| Accounts payable and accrued expenses | $ 1,014,864 | $ 749,585 |
| Due to affiliates | 4,841 | 7,778 |
| Deferred revenue | | |
| Membership dues | 1,225,266 | 1,231,905 |
| Registration and sponsorship fees | 147,560 | 332,506 |
| Project funds held for others | 5,816,147 | 5,025,505 |
| TOTAL LIABILITIES | 8,208,678 | 7,347,279 |
| NET ASSETS | | |
| Without donor restrictions | 9,329,880 | 10,592,941 |
| With donor restrictions | - | 25,519 |
| TOTAL NET ASSETS | 9,329,880 | 10,618,460 |
| **TOTAL LIABILITIES AND NET ASSETS** | $ 17,538,558 | $ 17,965,739 |

| | 2023 | 2022 |
|---|---|---|
| **NET ASSETS WITHOUT DONOR RESTRICTIONS** | | |
| REVENUES, GAINS, AND OTHER SUPPORT | | |
| Membership dues | | |
| Organizational | $ 2,819,114 | $ 3,303,927 |
| Individuals and international affiliates | 181,809 | 274,270 |
| Meetings | 1,689,359 | 1,916,903 |
| Education and certification | 1,367,615 | 1,573,888 |
| Federal grant and contract revenue | 2,798,223 | 2,520,794 |
| Project management fees | 429,821 | 393,500 |
| Net investment return (loss) | 1,369,690 | (757,708) |
| Other revenues, gains and support | 182,783 | 142,731 |
| | 10,838,414 | 9,368,305 |
| Net assets released from restrictions | 25,519 | - |
| TOTAL REVENUES, GAINS, AND OTHER SUPPORT | 10,863,933 | 9,368,305 |
| EXPENSES | | |
| Program services | | |
| Membership, meetings and education | 3,969,340 | 3,059,982 |
| Standards development, PMO and tooling | 919,318 | 719,361 |
| Federal grant projects | 2,851,076 | 2,303,346 |
| | 7,739,734 | 6,082,689 |
| Supporting services | | |
| Management and general | 4,361,010 | 3,326,771 |
| Membership development | 26,250 | - |
| | 4,387,260 | 3,326,771 |
| TOTAL EXPENSES | 12,126,994 | 9,409,460 |
| CHANGE IN NET ASSETS WITHOUT DONOR RESTRICTIONS | (1,263,061) | (41,155) |
| **NET ASSETS WITH DONOR RESTRICTIONS** | | |
| Net assets released from restrictions | (25,519) | - |
| CHANGE IN NET ASSETS WITH DONOR RESTRICTIONS | (25,519) | - |
| **CHANGE IN NET ASSETS** | (1,288,580) | (41,155) |
| NET ASSETS AT BEGINNING OF YEAR | 10,618,460 | 10,659,615 |
| **NET ASSETS AT END OF YEAR** | $ 9,329,880 | $ 10,618,460 |

**HEALTH LEVEL SEVEN INTERNATIONAL**
**STATEMENTS OF FUNCTIONAL EXPENSES**
***For the year ended December 31, 2023 with comparable totals for 2022***

| | Program Services | | | | Supporting Services | | | | |
|---|---|---|---|---|---|---|---|---|---|
| | Membership, Meetings and Education | Standards Development, PMO and Tooling | Federal Grant Projects | Total | Management and General | Membership Development | Total | Total 2023 | Total 2022 |
| **Employee Compensation** | | | | | | | | | |
| Salaries and wages | $ 168,525 | $ - | $ - | $ 168,525 | $ 467,204 | $ - | $ 467,204 | $ 635,729 | $ 325,356 |
| Pension plan contribution | - | - | - | - | 32,941 | - | 32,941 | 32,941 | 24,810 |
| Payroll taxes | 12,842 | - | - | 12,842 | 17,407 | - | 17,407 | 30,249 | 23,309 |
| | 181,367 | - | - | 181,367 | 517,552 | - | 517,552 | 698,919 | 373,475 |
| **Other Expenses** | | | | | | | | | |
| Management fees | 1,417,516 | 567,006 | 589,509 | 2,574,031 | 1,165,514 | - | 1,165,514 | 3,739,545 | 2,686,306 |
| Legal fees | - | - | - | - | 39,357 | - | 39,357 | 39,357 | 22,483 |
| Accounting fees | - | - | 6,470 | 6,470 | 84,363 | - | 84,363 | 90,833 | 23,092 |
| Other professional fees | 187,528 | 194,134 | 2,214,472 | 2,596,134 | 1,832,796 | 26,250 | 1,859,046 | 4,455,180 | 4,059,678 |
| Advertising and promotion | 21,562 | - | - | 21,562 | 170,928 | - | 170,928 | 192,490 | 213,468 |
| Office expenses | 4,417 | - | - | 4,417 | 21,879 | - | 21,879 | 26,296 | 12,760 |
| Information technology | 63,574 | - | - | 63,574 | 200,997 | - | 200,997 | 264,571 | 239,852 |
| Travel | 53,387 | 57,462 | 40,625 | 151,474 | 122,053 | - | 122,053 | 273,527 | 130,404 |
| Conferences and meetings | 1,392,725 | 50,678 | - | 1,443,403 | 8,261 | - | 8,261 | 1,451,664 | 787,660 |
| Insurance | 5,121 | - | - | 5,121 | 6,696 | - | 6,696 | 11,817 | 7,320 |
| Equipment rental | 284,474 | - | - | 284,474 | - | - | - | 284,474 | 103,847 |
| Fees and licenses | 52,957 | 1,287 | - | 54,244 | - | - | - | 54,244 | 227,855 |
| Distance eLearning | 210,000 | - | - | 210,000 | - | - | - | 210,000 | 311,452 |
| Credit card and bank fees | 88,593 | - | - | 88,593 | 14,437 | - | 14,437 | 103,030 | 133,671 |
| Amortization | - | - | - | - | 59,967 | - | 59,967 | 59,967 | 12,563 |
| All other | 6,119 | 48,751 | - | 54,870 | 116,210 | - | 116,210 | 171,080 | 63,574 |
| Total expenses | $ 3,969,340 | $ 919,318 | $ 2,851,076 | $ 7,739,734 | $ 4,361,010 | $ 26,250 | $ 4,387,260 | $ 12,126,994 | $ 9,409,460 |

**HEALTH LEVEL SEVEN INTERNATIONAL**
**STATEMENTS OF FUNCTIONAL EXPENSES**
***For the year ended December 31, 2022***

| | Program Services | | | | Supporting Services | | |
|---|---|---|---|---|---|---|---|
| | Membership, Meetings and Education | Standards Development, PMO and Tooling | Federal Grant Projects | Total | Management and General | Total | Total 2022 |
| **Employee Compensation** | | | | | | | |
| Salaries and wages | $ 25,356 | $ - | $ - | $ 25,356 | $ 300,000 | $ 300,000 | $ 325,356 |
| Pension plan contribution | - | - | - | - | 24,810 | 24,810 | 24,810 |
| Payroll taxes | 9,523 | - | - | 9,523 | 13,786 | 13,786 | 23,309 |
| | 34,879 | - | - | 34,879 | 338,596 | 338,596 | 373,475 |
| **Other Expenses** | | | | | | | |
| Management fees | 1,108,657 | 443,463 | 222,623 | 1,774,743 | 911,563 | 911,563 | 2,686,306 |
| Legal fees | - | - | - | - | 22,483 | 22,483 | 22,483 |
| Accounting fees | - | - | 5,300 | 5,300 | 17,792 | 17,792 | 23,092 |
| Other professional fees | 308,887 | 233,316 | 2,067,510 | 2,609,713 | 1,449,965 | 1,449,965 | 4,059,678 |
| Advertising and promotion | 9,537 | - | - | 9,537 | 203,931 | 203,931 | 213,468 |
| Office expenses | 774 | - | - | 774 | 11,986 | 11,986 | 12,760 |
| Information technology | 33,837 | 16,798 | - | 50,635 | 189,217 | 189,217 | 239,852 |
| Travel | 47,205 | 15,264 | 7,151 | 69,620 | 60,784 | 60,784 | 130,404 |
| Conferences and meetings | 765,727 | 435 | 762 | 766,924 | 20,736 | 20,736 | 787,660 |
| Insurance | - | - | - | - | 7,320 | 7,320 | 7,320 |
| Equipment rental | 103,847 | - | - | 103,847 | - | - | 103,847 |
| Fees and licenses | 217,770 | 10,085 | - | 227,855 | - | - | 227,855 |
| Distance eLearning | 311,452 | - | - | 311,452 | - | - | 311,452 |
| Credit card and bank fees | 117,160 | - | - | 117,160 | 16,511 | 16,511 | 133,671 |
| Amortization | - | - | - | - | 12,563 | 12,563 | 12,563 |
| All other | 250 | - | - | 250 | 63,324 | 63,324 | 63,574 |
| Total expenses | $ 3,059,982 | $ 719,361 | $ 2,303,346 | $ 6,082,689 | $ 3,326,771 | $ 3,326,771 | $ 9,409,460 |

| | 2023 | 2022 |
|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | |
| Change in net assets | $ (1,288,580) | $ (41,155) |
| Adjustments to reconcile change in net assets to net cash from operating activities: | | |
| Amortization | 59,967 | 12,563 |
| Realized and unrealized (gain) loss on investments | (1,221,131) | 835,320 |
| Change in assets and liabilities: | | |
| Accounts receivable, net of allowance for credit losses | 278,946 | (120,824) |
| Unbilled grant receivable | (117,181) | (185,515) |
| Prepaid expenses | 62,687 | (61,127) |
| Accounts payable and accrued expenses | 265,279 | (581,549) |
| Due to affiliates | (2,937) | (15,073) |
| Deferred revenue | (191,585) | (340,271) |
| Project funds held for others | 790,642 | 540,598 |
| Net cash from (used for) operating activities | (1,363,893) | 42,967 |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | |
| Purchases of investments | (9,205,355) | (8,701,719) |
| Proceeds from sales of investments | 10,270,804 | 8,546,309 |
| Purchases of internal-use software | (48,581) | (251,255) |
| Net cash from (used for) investing activities | 1,016,868 | (406,665) |
| **NET CHANGE IN CASH AND CASH EQUIVALENTS** | (347,025) | (363,698) |
| **CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR** | 6,807,802 | 7,171,500 |
| **CASH AND CASH EQUIVALENTS AT END OF YEAR** | $ 6,460,777 | $ 6,807,802 |

## NOTE A - NATURE OF ORGANIZATION AND SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

### *Nature of Organization*

Health Level Seven International (HL7) is a not-for-profit organization that strives to improve the manner in which medical information is transmitted between computer systems. The common goal of HL7 members is to simplify the implementation of interfaces between computer applications utilized by different vendors. Since the implementation of the first HL7 health care standard for the exchange of information, the organization has continued to revise and enhance the computer interface standards.

### *Basis of Accounting*

The financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America. Accordingly, revenues are recognized when earned and expenses are recognized as they are incurred.

### *Basis of Presentation*

Net assets, revenues, gains, and losses are classified based on the existence or absence of donor or grantor imposed restrictions. Accordingly, net assets and changes therein are classified and reported as follows:

*Net assets without donor restrictions* – Net assets available for use in general operations and not subject to donor (or certain grantor) restrictions.

*Net assets with donor restrictions* – Net assets subject to donor- (or certain grantor-) imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates that resources be maintained in perpetuity. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

### *Use of Estimates*

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make accounting estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

### *Cash and Cash Equivalents*

HL7's cash and cash equivalents consist of cash on hand, checking accounts, and money market accounts. HL7 considers all investments with an original maturity of three months or less to be cash equivalents. Cash and cash equivalents includes cash held for project funds in an amount equal to the liability *project funds held for others* on the statement of financial position.

### *Accounts Receivable*

Accounts receivable are stated at the amount management expects to collect on balances outstanding at year-end. Management provides for probable uncollectible amounts through a charge to earnings and a credit to a valuation allowance based on its assessment of the current status of individual accounts. Balances that are still outstanding after management has used reasonable collection efforts are written off against a reserve. No allowance for credit losses was deemed necessary at December 31, 2023 and 2022. Accounts receivable are not collateralized, and interest is not accrued on past-due balances.

### *Investments*

Investment purchases are recorded at cost, or if donated, at fair value on the date of donation. Thereafter, investments are reported at their fair values in the statements of financial position. Net investment return/(loss) is reported in the statements of activities and consists of interest and dividend income, realized and unrealized capital gains and losses, less external and direct internal investment expenses.

### *Internal-use Software*

Software and equipment acquisitions are recorded at cost if purchased, or estimated fair value if donated, at the date of donation. Depreciation and amortization is provided over the estimated useful lives of the assets and computed on the straight-line method.

All costs incurred in the planning stage of developing a website are expensed as incurred as are internal and external training costs and maintenance costs. Fees, such as licensing and hosting, including software as a service, are expensed over the period of benefit.

Capitalized internal-use software development costs are amortized on the straight-line method over their estimated useful lives of a three to five-year period and begins when all substantial testing of the software is completed and the software is ready for its intended use.

### *Project Funds Held for Others*

HL7 holds funds and administers transactions for various Accelerator groups. These groups have discretion over these funds.

### *Functional Allocation of Expenses*

The costs of providing various programs and other activities have been summarized on a functional basis in the statement of activities and statement of functional expenses. Expenses are summarized and categorized based upon their functional classification as either program or supporting services. Specific expenses that are readily identifiable to a single program or activity are charged directly to that function. Certain categories of expenses are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. The expenses that are allocated include management fees, which are allocated on the basis of estimates of time and effort.

### *Advertising*

Advertising costs are expensed as incurred.

### *Income Taxes*

HL7 is exempt from federal income taxes under Section 501(c)(6) of the Internal Revenue. However, income, if any, from certain activities not directly related to HL7's tax-exempt purpose is subject to taxation as unrelated business income.

### *Revenue Recognition*

HL7 recognizes revenue when it transfers promised goods or services to customers in an amount that reflects the consideration in which it expects to be entitled in exchange for those goods or services. HL7's contracts generally do not contain variable consideration, contingent revenue or warranties, and contract modifications are generally minimal.

Education and Certification

Performance obligations related to education and certification revenue is transferred to the customer at a point in time as training is completed. The principal terms of sale are completion of training. Payment is due in full at the beginning of training; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Federal Grants

Federal grants are considered conditional contributions. The principal condition attached to these awards is that HL7 must incur costs in accordance with the Office of Management and Budget's uniform guidance before costs can be reimbursed. Total amount promised under these grants for which conditions have not yet been fulfilled is $1,854,913 at December 31, 2023. HL7 exercises judgment regarding what constitutes a reimbursable cost per compliance with federal regulations.

Federal Contracts

Federal contracts are recognized over time, ratably over the term of the contract and are billed monthly, payable upon presentation. There are no contract assets or liabilities.

Meetings
Revenue from meetings consists primarily of participant registrations and exhibitor fees. Performance obligations related to meetings is transferred to the customer at a point in time and is recognized at the conclusion of the meeting. Payment is generally due in full prior to the meeting; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Memberships
Performance obligations related to membership revenue are transferred to the customer over time. Revenue is recognized ratably over the term of the membership, which is typically one year, with memberships beginning at various points during the calendar year. Payment is due in full at the beginning of the membership; therefore, contract liabilities may exist at year end.

The contract terms are straightforward and do not involve significant judgment in the timing or amount of revenue recognized.

Project Management Fees
Performance obligations related to project management fee revenue are transferred to the customer over time. Revenue is recognized when invoiced, which approximates recognition ratably over the period of the contract. Payment terms vary from payments due up front to payments due per an agreed upon payment schedule.

Contract terms vary, therefore, HL7 may exercise judgment based on individual contract terms whether it has satisfied its performance obligations and revenue recognition.

Disaggregation of Revenue

| | 2023 | 2022 |
|---|---|---|
| Over time: | | |
| Memberships | $ 3,000,923 | $ 3,578,197 |
| Federal contracts | 842,967 | 883,000 |
| Project management fees | 429,821 | 393,500 |
| | $ 4,273,711 | $ 4,854,697 |
| Point in time: | | |
| Education and certification | $ 1,367,615 | $ 1,573,888 |
| Meetings | 1,689,359 | 1,916,903 |
| | $ 3,056,974 | $ 3,490,791 |

Contract Liabilities
Contract liabilities are shown on the statement of financial position as deferred revenue.

Contributions
Contributions, including unconditional promises to give, are recognized when received. All contributions are reported as increases in net assets without donor restrictions unless use of the contributed assets is specifically restricted by the donor. Amounts received that are restricted by the donor to use in future periods or for specific purposes are reported as increases in net assets with donor restrictions.

### *Subsequent Events*
Subsequent events have been evaluated through July 5, 2024, the date the financial statements were available to be issued.

## NOTE B - LIQUIDITY AND AVAILABILITY

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of December 31, 2023 and 2022, comprise the following:

| | 2023 | 2022 |
|---|---|---|
| Financial assets: | | |
| Cash and cash equivalents | $ 6,460,777 | $ 6,807,802 |
| Investments | 10,203,554 | 10,047,872 |
| Accounts receivable, net of allowance for credit losses | 66,175 | 345,121 |
| Unbilled grant receivable | 390,331 | 273,150 |
| Total financial assets | 17,120,837 | 17,473,945 |
| Less financial assets held to meet donor-imposed restrictions: | | |
| Purpose-restricted net assets | - | (25,519) |
| Less project funds held for others | (5,816,147) | (5,025,505) |
| Amount available for general expenditures within one year | $ 11,304,690 | $ 12,422,921 |

As part of its liquidity management plan, HL7 has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations become due. It invests cash in excess of daily requirements in stocks, government securities, mutual funds, certificates of deposit, and money market accounts.

## NOTE C - INVESTMENTS AND FAIR VALUE MEASUREMENTS

Fair value refers to the price that would be received to sell an asset or paid to transfer a liability (exit price) in an orderly transaction between market participants in the market in which the reporting entity transacts such sales or transfers based on the assumptions market participants would use when pricing an asset or liability. Assumptions are developed based on prioritizing information within a fair value hierarchy that gives the highest priority to quoted prices in active markets (level 1) and the lowest priority to unobservable data (level 3). A description of each category in the fair value hierarchy is as follows:

- Level 1 – unadjusted quoted market prices for identical assets and liabilities in an active market that HL7 has the ability to access
- Level 2 – inputs, other than the quoted prices in active markets that are observable either directly or indirectly
- Level 3 – inputs based on prices or valuation techniques that are both unobservable and significant to the overall fair value measurements.

From time to time, changes in valuation techniques may result in reclassification of an investment's assigned level within the hierarchy.

Investments at fair value at December 31, 2023 and 2022 are summarized as follows:

| At December 31, 2023: | Total | Quoted Prices in Active Markets for Identical Securities (Level 1) | Significant Other Observable Inputs (Level 2) |
|---|---|---|---|
| Certificates of deposit - brokered | $ 1,220,357 | $ - | $ 1,220,357 |
| Publicly held stocks, including domestic, international and preferred | 6,347,407 | 6,347,407 | - |
| US Government securities | 2,584,703 | 2,584,703 | - |
| Mutual funds and exchange traded funds | 51,087 | 51,087 | - |
| Total | $ 10,203,554 | $ 8,983,197 | $ 1,220,357 |

| At December 31, 2022: | Total | Quoted Prices in Active Markets for Identical Securities (Level 1) | Significant Other Observable Inputs (Level 2) |
|---|---|---|---|
| Certificates of deposit - brokered | $ 1,909,801 | $ - | $ 1,909,801 |
| Publicly held stocks, including domestic, international and preferred | 5,365,975 | 5,365,975 | - |
| US Government securities | 2,772,092 | 2,772,092 | - |
| Mutual funds and exchange traded funds | 4 | 4 | - |
| Total | $ 10,047,872 | $ 8,138,071 | $ 1,909,801 |

The following is a description of the valuation methodologies uses for investments measured at fair value:

- Certificates of deposit are valued by the custodian based on using pricing models based on credit quality, time to maturity, stated interest rates, and market-rate assumptions.
- Publicly held stocks and government securities are valued at quoted market prices.
- Mutual funds and exchange traded funds are valued at the daily net asset value (NAV) reported by the fund and are considered readily determinable.

HL7 believes its valuation methods are appropriate, the use of different methodologies or assumptions to determine fair value could result in a different fair value measurement at the reporting date.

### *Investment Return*

The composition of investment return on HL7's investment portfolio for the years ended December 31, 2023 and 2022 is as follows:

| | 2023 | 2022 |
|---|---|---|
| Without donor restrictions: | | |
| Interest and dividends | $ 231,149 | $ 155,675 |
| Net realized and unrealized gain (loss) on investments | 1,221,131 | (835,320) |
| Total investment return | 1,452,280 | (679,645) |
| Less investment fees and expenses | (82,590) | (78,063) |
| Net investment return on statement of activities | $ 1,369,690 | $ (757,708) |

## NOTE D - INTERNAL-USE SOFTWARE

Internal-use software consists of the following as of December 31:

| | 2023 | 2022 |
|---|---|---|
| Internal-use software | $ 299,837 | $ 251,255 |
| Less accumulated amortization | (72,531) | (12,563) |
| | $ 227,306 | $ 238,692 |

## NOTE E - NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions at December 31, 2022 consists entirely of contributions restricted by the donor to support the implementation of the list of recommendations from the Re-Envisioning Task Groups to evolve how HL7 is organized and/or conducts its work. Net assets totaling $25,519 were released from donor restrictions by incurring expenses satisfying the restricted purpose above in 2023. There were no net assets released in 2022.

## NOTE F - CONCENTRATIONS

### *Concentration of Credit Risk in Financial Instruments*

As of December 31, 2023, HL7 maintained its cash balances at one financial institution and one brokerage firm. The funds on deposit at the financial institution are insured by the Federal Deposit Insurance Corporation (FDIC) up to $250,000. At December 31, 2023, cash balances at the financial institution in excess of FDIC coverage totaled $5,975,636.

Funds on deposit with the brokerage firm are insured by the Securities Investor Protection Corporation (SIPC) up to $250,000 per entity. At times, amounts on deposit may exceed insured limits. At December 31, 2023, there were no cash balances at the financial institution in excess of SIPC coverage.

At December 31, 2023, HL7's cash balances include $5,816,147 of project funds for others (e.g., Da Vinci, Argonaut and other FHIR Accelerator projects) for whom HL7 is not authorized to invest their funds and therefore produce a larger uninsured cash balance.

## NOTE G - RETIREMENT PLAN

HL7 sponsors a tax-deferred 401(k) plan (the Plan) covering substantially all full-time employees. The Plan provides that employees may voluntarily contribute a percent of their earnings to the Plan, up to the maximum contribution allowed by the IRS. Employer contributions are discretionary and are determined and authorized by the Board of Directors each plan year. During the years ended December 31, 2023 and 2022, employer contributions totaled $32,941 and $24,810, respectively.

## NOTE H - RELATED PARTY TRANSACTIONS

### *Honoraria*

Several members of HL7's board of directors serve as speakers at its educational programs, and some are paid honorariums for their services. Honorarium payments to these individuals totaled $17,700 and $0 for 2023 and 2022, respectively.

### *Management Fees*

Since 1991 until December 2023, HL7 contracted with a third party for-profit association management company (AMG) to manage its operations, which was majority owned by HL7's executive director. Under the agreement, HL7 paid a fixed monthly management fee and an incentive based on achieving certain metrics. For the year ended December 31, 2023, HL7 paid the third-party management company a total of $2,939,545, which includes an incentive payment of $100,000. For the year ended December 31, 2022, HL7 paid the third-party management company a total of $2,686,306, which includes an incentive payment of $100,000.

### *Transition Agreement*

In September 2023, HL7 entered into a termination and transition agreement with AMG. Under this agreement, HL7 is ending its relationship with AMG, hiring all of its employees and bringing management in-house, effective January 1, 2024. In consideration for, among other things, the early termination of the current AMG contract and AMG releasing its employees from any restrictive covenants , HL7 agreed to pay AMG $800,000, in two equal installments. The first installment was paid in 2023, and the second installment of $400,000 is included in accounts payable on the statement of financial position at December 31, 2023. The entire fee of $800,000 was expensed in 2023 and is included in management fee expense in the statement of functional expenses.

Under the terms of the agreement, HL7 hired all of the AMG employees that worked on HL7 operations, and has agreed to retain them for one year from their hire date, January 1, 2024.

### *Consulting Fees*

In 2023, HL7 made payments of $82,500 to a consulting firm owned by a board member. At December 31, 2023, there was a liability of $41,500 to this consulting firm which is included in accounts payable on the Statement of Financial Position.

In 2022, HL7 made payments of $400,000 to a consulting firm owned by a board member. At December 31, 2022, there was a liability of $107,500 to this consulting firm which is included in accounts payable on the Statement of Financial Position.

## NOTE I - NEW ACCOUNTING PRONOUNCEMENT

In June 2016, the FASB issued ASU No. 2016-13, Financial Instruments – Credit Losses: Measurement of Credit Losses on Financial Instruments. The ASU includes changes to the accounting and measurement of financial assets, specifically HL7's accounts receivable, by requiring HL7 to recognize an allowance for expected losses over the life of the financial asset at origination. This is different from the previous practice where an allowance is not recognized until the losses are considered probable. The ASU has been adopted for the year ended December 31, 2023, and has been adopted using the modified retrospective transition method. There was no adjustment made to the beginning of the year net assets at the time of adoption.

## NOTE J - SUBSEQUENT EVENTS

As described in Note H, HL7 has ended its management agreement with AMG and brought management in-house, including hiring all employees of AMG, effective January 1, 2024.